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HDFC BANK

This report is for educational/informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

SELL

KEY METRICS AT A GLANCE

DCF Intrinsic Value	Rs.682

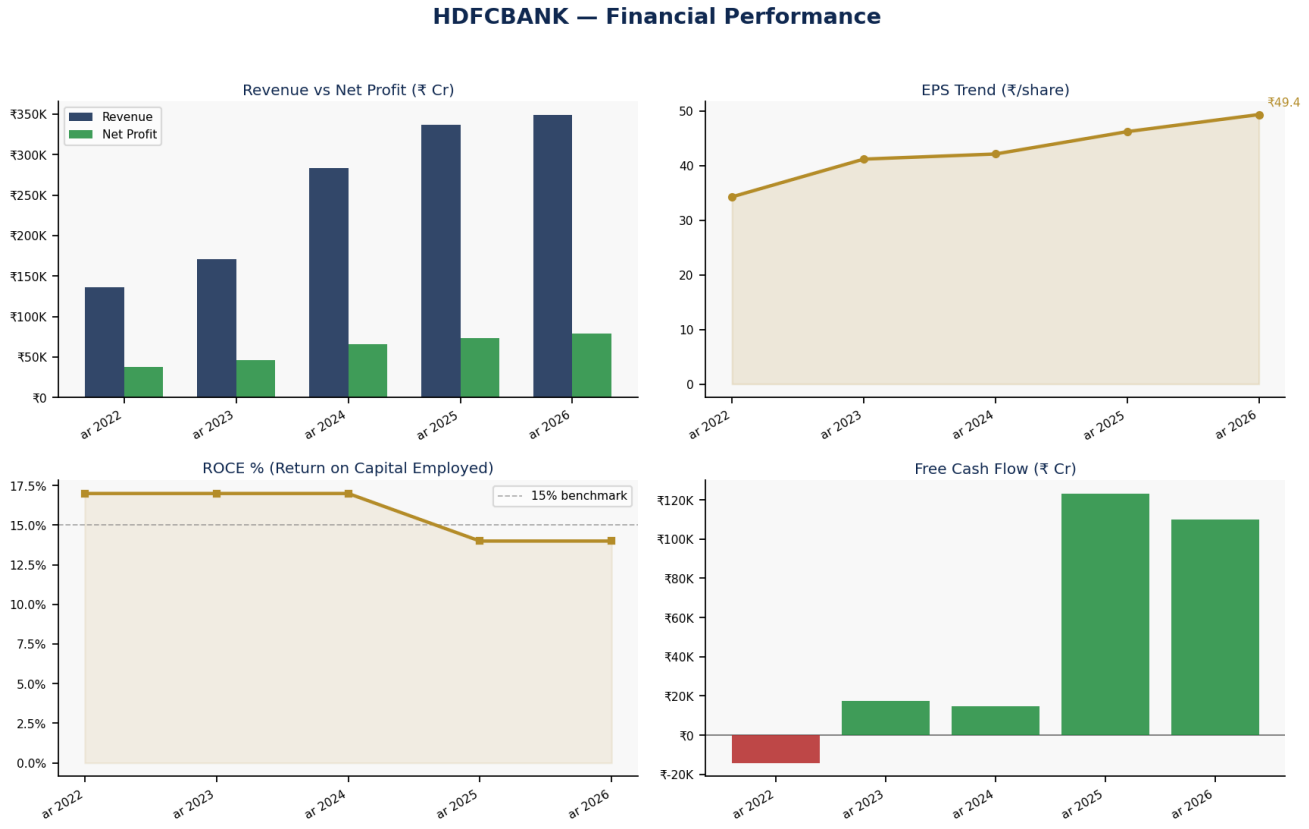
FINANCIAL SUMMARY — 5-YEAR TREND

EPS CAGR (3Y)					+6.2%
Interest Coverage		1.6x			
Metric (Rs. Crore)	ar 2022	ar 2023	ar 2024	ar 2025	ar 2026
Revenue (Sales)	135,936	170,754	283,649	336,367	348,615
Net Profit	38,151	46,149	65,446	73,440	79,219
EPS (Rs.)	34	41	42	46	49
Op. Profit Margin %	15.0%	18.0%	-16.0%	-10.0%	-13.0%
ROCE %	17.0%	17.0%	17.0%	14.0%	14.0%
Cash from Operations	-11,960	20,814	19,069	127,242	113,506

GROWTH RATES (CAGR)

Revenue CAGR (3Y)	+26.9%

FINANCIAL CHARTS · 10-Year Historical Performance



Charts show last 5 fiscal years. FCF bars: green = positive, red = negative cash generation. ROCE benchmark line at 15%.

RESIDUAL INCOME MODEL · Bank / NBFC Valuation

P10 Bear Case (Rs.) P90 Bull Case (Rs.)

Current Price: Rs.783 Margin of Safety -12.9%

[!] Residual Income Model | ROE=15.0% CoE=12.9% ROE→17% (15Y) Retention=74%

Model	Residual Income Model (RIM) — Bank / NBFC
Book Value/Share	Rs.363 (equity BV per share)
Current ROE	15.0% (3-year average from data)
Cost of Equity	12.88% (CAPM: Rf=7.1% + Beta x ERP=5.5%)
Convergence	ROE declines linearly to long-run equilibrium over 15 years
Terminal Growth	5.5% (India long-run nominal GDP)
Simulations	10,000 Monte Carlo iterations (ROE ±2.0% | CoE ±1.5%)
Shares Outstanding	1603.9 Crore

VALUATION SUMMARY

Base-Case IV (Rs.)

MULTI-FACTOR COMPOSITE SCORE · Quality · Growth · Earnings Quality · Piotroski

FCF CAGR 3Y	+19.7%

37.5 / 100 (B)

HOLD

Quality Score	26.1
ROCE, Operating Margin, D/E, Interest Coverage	
Growth Score	59.9
Revenue CAGR, EPS CAGR, FCF CAGR	
Earnings Quality	36.7
CFO/Net Profit ratio, Accruals ratio	
Piotroski F-Score	5 / 9
9-point financial health test (Profitability · Leverage · Efficiency)	

RAW METRICS

ROCE %	41th percentile

INVESTMENT THESIS · AI-Generated Analysis

HDFC Bank (HDFCBANK) is a constituent of the Nifty 50 index.

The company scores 37.5/100 on our multi-factor composite model, ranking it in the HOLD category with a B grade.

Key strengths: ROCE at 41th percentile within Nifty 50, EPS growing at +6.2% per year (3Y CAGR), Revenue expanding at +26.9% annually. D/E ratio stands at 1.01x with interest coverage of 1.6x.

Our DCF valuation, using a 12.9% WACC and +15.0% historical FCF CAGR, yields a base-case intrinsic value of Rs.682 per share (P10–P90 range: Rs.452–Rs.1,097). The DCF model implies a margin of safety of -12.9% versus the current market price of Rs.783. The verdict is: SELL.

STANDARD RISK FACTORS

- Market Risk: Broad market downturns may affect price irrespective of fundamentals.
- Earnings Risk: Future earnings may deviate from historical trends used in this model.
- Valuation Risk: DCF models are sensitive to WACC and terminal growth rate assumptions.
- Sector Risk: Regulatory changes, commodity cycles, or competitive pressures specific to the industry.
- Liquidity Risk: Lower-volume stocks may be harder to exit at favourable prices.